The price will move till the market is cleared, i.e., the supply and the demand are equal. As an example, consider the price of salt. The per capita consumption of salt is essentially fixed; there are no substitutes and there is no possibility for most people to consume less. When a small shortage of salt comes about, a very large price adjustment is required to get some people to buy less salt, and thus remove the gap between supply and demand.

The consumption of (say) salt or wheat is price-insensitive, therefore there will be large price fluctuations. The consumption of (say) avocados is highly price-sensitive, so there will be small price fluctuations.

Indira Gandhi claimed that inflation in the 1970s was caused by hoarders and speculators. In truth, it was a simple matter of supply and demand. Excoriating, coercing, or imprisoning the hoarders and speculators changes nothing in terms of creating new supply. The economic theory of people hostile to economic forces is wrong.

Policymakers have regularly tried to ban futures trading when the price of a commodity goes up. This is based on the mistaken notion that futures trading causes the price to go up. The price is made by supply and demand and not by trading. Our extensive experience in India with bans on trading show that these do not work in influencing the price; they only damage the working of the market.

A gap between supply and demand is a problem. Prices move in order to remove imbalances between supply and demand. The movement in price solves this problem by inducing changes in both supply and demand. Every time a government interferes in the movement of a price, it hampers this adjustment process.

This has sharp implications in macroeconomics. The most important price of the country is the exchange rate. Every day, the exchange rate should change, to catch up with changes in macroeconomic conditions. Changes in the exchange rate impact upon capital flows and international trade, and remove balance of payments imbalances. When a government interferes with the movement of the exchange rate, this hampers